



Oil and Natural Gas Corporation Limited Q4 FY'26 Earnings Conference Call

Event Date, Time & Venue

27/05/2026, 11:00 am,
Conference Room, 5th Floor,
Deen Dayal Urja Bhawan, Vasant Kunj

CORPORATE PARTICIPANTS:

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Q&A PARTICIPANTS:

1	Mr. Nitin Tiwari	: Phillip Capital (India) Limited
2	Mr. Sabri Hazarika	: Emkay Global
3	Mr. Vikash Jain	: CLSA India
4	Mr. Mayank Maheswari	: Morgan Stanley
5	Ms. Pranitha Shetty	: Morgan Stanley
6	Mr. Randy Lau	: Goldman Sachs
7	Mr. Varatharajan Sivasankaran	: Antique Stock Broking
8	Mr. Amit Muraka	: Axis Capital
9	Mr. Raj Gandhi	: SBI Mutual Funds
10	Mr. Vikash Jain	: CLSA India
11	Mr. Gagan Dixit	: Elara Securities
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Moderator

Good morning, ladies and gentlemen. I'm Madhuri, moderator for the conference call. Welcome to ONGC's Earnings Conference call for quarter and year ended on 31st March, 2026. We have with us today, Shri Arun Kumar Singh, Chairman and CEO - ONGC Group of Companies; Shri Rajarshi Gupta, MD - ONGC Videsh; Shri Manish Patil, Director (HR) having additional charge Director (Finance) - ONGC; Shri Anupam Agarwal, Director (Finance) - ONGC Videsh; and team who will interact with the investors and analysts to discuss Q4 earnings.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing * and then 0 on your touch tone telephone. Please note, this conference is recorded. I would now like to hand over the floor Shri Manish Patil for his opening remarks.

Manish Patil

Good morning, ladies and gentlemen. I am Manish Patil, Director (HR) - ONGC, having additional charge of Director (Finance). I welcome you all to this ONGC earnings call for Q4 and financial year ended 2026. Thank you all for joining us on the call.

As said earlier, we have with us Shri Arun Kumar Singh, Chairman and CEO - ONGC; Shri Rajarshi Gupta, MD - ONGC Videsh; Shri Anupam Agarwal, Director (Finance) - ONGC Videsh. Also present are my colleagues from ONGC, Shri Yogish Nayak, CFO; Shri Ajay Kumar Singh, President, Planning and Transformation; Shri Satish Kumar Dwivedi, Chief BD&JV; Shri Ravinder Singh Negi, Chief of Investor Relations; Shri Sanjay Kumar Sharma, Head Investor Relations; Shri Prakash Joshi from Investor Relations; and Shri Akhilesh Tiwari, Head Corporate Accounts.

ONGC has compiled its financial results for the quarter and the financial year ended 31st of March 2026, which has been audited by the statutory auditors. The financial results have already been released on 26th May, 2026 through a press note and sent to the stock exchanges. This has also been sent to the analysts who are there on our mailing list. Here is a brief synopsis of the results.

The company at the consolidated level has earned profit after tax of INR 13,678 crores during Q4 FY26 against INR 8,965 during Q4 FY25, which is up by 53%. There is also an increase of 30% in consolidated annual profit, which is INR 49,793 crores during FY26 as against INR 38,329 crores during FY25. This increase in consolidated PAT, is mainly supported by performance of our subsidiaries HPCL, MRPL, OVL and OPaL.

Now coming to standalone financials, there is an uptick of 3% on QoQ basis on account of improved crude realization and rupee depreciation. Company has earned profit after tax amounting to INR 6,650 crore for Q4 FY26 against INR 6,448 crore earning during Q4 2025. Annual PAT for FY 2026 stood at INR 32,894 crore against PAT of INR 35,610 crore for FY 25 impacted by lower per barrel realization of crude oil.

Statutory levies have decreased by INR 4,820 crore (15.6%) that is from INR 30,968 crore in FY25 to INR 26,148 crore in FY26, mainly due to lesser realization of crude and abolition of SAED with effect from 02/12/2024.

There is an increase of INR 3,373 crore in other expenses during financial year 2026. That is INR 28,104 crore in FY 2026 to INR 24,731 crore in FY25. This is on account of increase in provisions and write off by INR 1,142 crore and increase in exchange loss by INR 1,932 crore. Provisions and write-offs has increased mainly on account of one-off provisions in Q4 FY 2026. It includes provision of GST on royalty of INR 235 crore, expenditure of INR 262 crore related to KG-98/2, umbilical written offs as per opinion of ICAI, which was previously capitalized, provisions for old outstanding receivables of INR 257 crore and provision for store and spares of INR 280 crore. There is an increase in exchange loss mainly on account of depreciation of INR versus U.S. Dollar by INR 9 per U.S. dollar, that is 11%, in FY26 versus FY25, and upward revaluation of foreign exchange liabilities.

ONGC declared three hydrocarbon discoveries during financial year 2026 in its operated acreages. All the discoveries are in shallow water region of Mumbai offshore. Two are new prospects and one is new pool discovery.

The standalone crude oil production was 18.355 MMT during FY 26, as against 18.558 MMT in FY 2025, and standalone natural gas production was 19.533 BCM in FY 2026 as against 19.654 BCM in FY 2025. While ONGC's production has remained broadly flat in recent years, the company has now taken a series of bold, structural and long-term initiatives to address exploration and production challenges.

ONGC has entered into multiple new ventures and strategic partnerships for overall production growth, entering into new business verticals, expanding the renewable footprint, and as a strategic enabler for strengthening our subsidiaries.

The board has recommended final dividend of 20%, that is INR 1 per share, with dividend payout ratio of 51%. The total dividend for FY 25-26 would be 265%, that is INR 13.25 per share of the face value, INR 5 each, with the highest ever total payout of INR 16,669 crore.

Friends, with this I finish my briefing of the results of the fourth quarter and FY 25-26. Now I will request Shri Arun Kumar Singh, Chairman and CEO - ONGC, to address the attendees, to give you a detailed overview of the performance and future road map. Thank you.

Arun Kumar Singh

Good morning, ladies and gentlemen. So, it is a really great pleasure for me to interact with you. First, I'll give you broad, 30,000 feet view, and then we can take questions. First and foremost, if you take E&P side of ONGC, ONGC now is two-third E&P and one-third non-E&P at a group level. So, two-third if you see, E&P, which continues to be the main thrust.

The two - three macro trends, if you see is -- basically, first one is that you might have heard, that there's a great push towards exploration, and government is seriously considering to fund particularly deepwater exploration, which we were doing so far at our cost, but of course size was small. So now deepwater exploration is coming in focus from government side.

Second, if you see at policy level, which is a macro level, if you can read the pattern of time, government reduced royalty from our onshore productions, and basically these all royalty, post wellhead, all that in the direction of promoting E&P in the country. In fact, taking a hit on government own revenue and literally giving that money to you for increasing production or doing more exploration. So that intent, plus also you must have noticed that unlike previous decade, this time when the oil hit USD 150, still SAED did not come. So, we thank government for that because whatever market price is there, ONGC is able to realize that. So, in fact, ONGC now, you can say safely, that other than the APM gas, government is not controlling any of our revenue stream. It is purely left to ONGC to manage this revenue stream, be it production or be it the price. Only area where government is involved today is APM gas.

First and foremost, we want you to know that ONGC produces today and sells more gas than oil. In fact, gas is now a little more than oil. Gas side, if you see now, new well gas, which was last year -- say last year it was around -- volume wise it was 17% and revenue wise 21%. This year, you can safely -- you can do your own number crunching. There's a big jump in new well gas. Already from 1st April 26 it is 9 MMSCMD plus. You can expect another 3 MMSCMD very easily, because our new project is new well gas only, so it becomes 12. 12 MMSCMD out of say, whatever we sell, so 25% of our gas has become new well gas. New well gas, if you notice, we get 12% of crude. So virtually this is an international price. In fact, world over local market, I don't think there is any market in the world which pays more than 12% of oil price. LNG is different, because LNG has liquefaction and all that cost, but probably India is the highest paying for new wells. India is the highest paying market in any onshore. That also goes to prove that government intention is to leave more money with E&P operators to do further production and exploration.

Now bigger story therefore in our basket today, that gas, new well gas will be always on rise. Now, from 17%, this is already jumped. I think it will be at 30%, time will tell. But ultimately, because there is some margin we have to take for what happens, but literally it will be between 25-30% anywhere this year. And next year it'll be again 30-36%. Every year, I'll explain you this, why new well gas is on rise. That doesn't

mean that gas production is in the same ratio rise, because it is gas is shifting because our old wells are dying, and nearby we'll build new wells to produce same gas or more gas, and therefore, the 7 USD/mmbtu gas is gradually getting replaced by 12% gas. So that is only a matter of time before four, five, six years max, even if the government policy doesn't change, if the same policy continues, when almost 80% - 90% of ONGC gas will be new well gas. So, this is something that you can factor in in your calculation, that new well gas, what price, you know at crude price of say USD 90/bbl, we get USD 10.8/mmbtu, USD 10.8/mmbtu in the local market is -- we value it more than oil to be very frank with you, because for different reasons that we cannot share with you, but our gas is not as cumbersome as oil, so that's it. So, it leaves more money in our pocket. That is so far the gas part is concerned.

Third part, India, oil may be flat, but gas because or unless we get some major discovery, gas will keep growing. Like for example, this year itself, we have started opening the wells. Out of 15 wells we have already opened four wells for DUDP project, which is supposed to be 4.89 MMSCM gas. Progressively we do it, because one-by-one, one-by-one, to balance of the system. If you take that quantity of say 4 MMSCM, so 4 MMSM on total our gas sales is to be say, production is around 53-54 MMSCM all these are neat sales gas.

So, what I'm trying to tell you, that every year 7-8% increase you should expect in gas. Because this year is DUDP, next year is DSF. DSF is also again 4-5 MMSCM gas. Plus, also, we are hopeful to -- complete 98/2 gas wells, because ... are complete now, platforms are complete. Often, we told you that project was inordinately delayed for geopolitical and because all the vendors were foreign based. Now we are hopeful that now, last leg we are -- there we are doing a piping connection, which is internal to our work. So, July - August, we'll open those wells too.

So, you can safely assume that our gas production will be up and compared to last year, and next year also gas production is up. So, it is not only for us, it could be true for other operators too. So, gas production and gas is becoming more attractive, because of the price that Indian market pays for gas. So, this is something that I wanted to tell you.

Then fourth thing that's important is that we roughly drill around 500 wells. 500 wells, 100 wells are exploratory wells, and around 400 are producing wells. This year also we are increasing little more. 50-60 wells or a little more than that, we may drill more, for the reason to basically augment or support our production base. But at the same time you should be mindful that in this business, oil field depletes, the pressure goes down, and therefore every time we have to search for new. Fortunately for last year, our reserve replacement ratio in 25-26 is more than 1.1. It is 1.15% or something like that -- 1.17%. It means we found new oil and gas equal to what we sold. It means R/P ratio almost remains at the same. That is reserve to production ratio. 2P Reserve is around 700 MMT plus, which is almost 2 - 3 million ton, more compared to last year. So, futuristically these are relevant for you, so I thought I'll give that information to you.

Now, coming to our deeper, bigger commitments, bigger commitments are this year. One thing you must know that -- I want you to know that we are today executing almost around INR 33,000 crores of project in Western Offshore, that is currently work is going on. That is total project value is INR 33,000 crores. These all are there to either sustain production or increase production. So, you can draw your own numbers that how much will contribute into increased production. So that is something that we want you to know.

Plus, also we have this year also we'll -- we are in the process of -- that we'll share with you at a particular point in time that how much we are doing new projects. So, basically that part, then one more thing we want you to know that global outlook you observe better than us. Global outlook of oil prices certainly for next two years is better than what it was previous two years. So, you have to draw your own inference to see where ONGC will be. This is by and large, I've shared the ONGC picture of the price.

One thing which is -- we really are very proud that -- for Western Offshore, which is roughly our 60% of oil and 70% of our gas comes from Western Offshore. So Western Offshore is our lifeline. You may be aware that we gave BP-TSP contract for Mumbai High. Mumbai High was only 38% of total Western Offshore. And the day before yesterday we awarded TSP-II for remaining 62% of Western Offshore. So now a 100% of Western Offshore is with BP-TSP. We shared with you the number, the baseline number. BP showed a good result, although in our industry, even the leaf doesn't move for less than two years. Anything we do, it takes time in E&P industry. But first year itself they showed some operational changes here and there, and we could see some result. Now the big things are under execution. Big things means, CapEx projects, mainly the water injection wells, producers. The group work means our TSP team did, that work, we are under execution. This year we'll execute 40%, and next year we'll execute the 60% of recommendation. And remaining which is just now awarded, I hope that next year it will come for execution and for remaining 62% of the field. So TSP, we are betting big on TSP with BP, and at least initial shoots proved the line of thinking was right, because that too in a very short span of time. Last year, April they came. So, we are very hopeful about outcome from that.

Now, one more thing we want to share with you is 98/2, I shared with you, gas. But I'll be very honest to say that we had some geological surprises in production in 98/2 oil, but we have almost got full handle on it, and we know what to do now. What to do now, in terms of sustaining the production. So, this is something yesterday in our press release also we mentioned. But gas sales will open, and now we have best international experts also to suggest us that what to do best in 98/2. These are small, small interventions that we need to do, and that we will do in the short course of time. So, this is something about E&P.

Now coming to OVL, our subsidiaries and our other activities, the primary - the first thing you may be aware, we are back in Sakhalin, and Sakhalin is full blast. Russia is producing almost what it was producing

pre-Ukraine. Sakhalin is at the same level. So, you can draw your own inference, what kind of thing it will do to ONGC's group, because Sakhalin is our numero uno at certain -- the cap of OVL.

Second good news of company is that Mozambique project is progressing very fast. There are 6,000 persons on the site doing project. We hope that if everything goes well, by '28 end or something we should have our LNG. So, this is something that is happening good on the front of OVL.

The third thing which is also important is Venezuela. We are very hopeful that Venezuela we are producing something currently, but now in the new regime -- American new regime, we are hopeful that our production will go up substantively after we get the license in the new regime, that is the U.S. regime and all that, and hopefully Venezuela also will start showing good number of production in years to come. So, this is something that's on OVL side.

OPaL side, as promised -- we have promised that we'll turn it around. We almost turned it around, because last year we had some small issue. Otherwise our EBITDA was INR 1,500 crore, but we achieved INR 1,206 crore. But there was some last month march issue came, and then the technical industry, we had to shut for the want of gas, because gas got diverted. Some gas got diverted to LPG and all that, so. Otherwise we were there, what we had promised, that INR 1,500 crore will be our EBITDA of OPaL. And let's hope that next year, that is this year, it achieves again our internal target is INR 1,500 crores – INR 2,000 crores. It achieves an EBITDA of INR 2,000 crores.

Now, we want to share with you something that is - in last four, five years, you must have observed us that we have been very bullish on OGL or ONGC Green Limited. ONGC Green Limited is having two, three mega, one is 100% subsidiary, which we acquired from PTC, and the other one which we acquired with NTPC. That Ayana is now 3,000 megawatt plus, and hopefully it will add another 1,000 megawatts in this year. So there, we are almost with our own production, what we had. So we have become now -- we can say that now we are almost close to 3 gigawatt by next year in terms of our renewable portfolio. And also, it's turning out to be a good asset, because it has old PPAs and all that as you're aware. So, it is something that - you know, that renewable side, that is our flagship.

Cost reduction side I want to talk about, because cost reduction side we have promised INR 5,000 crore. We almost got INR 4,000 crores, but you'll say that, where is that money gone? So, money has gone in terms of - GST went up in oil and gas for input 12-18%. That itself wiped out INR 2,000 crore for us per year, everything put together and then second issue came with this dollar conversion, this rupee depreciation. So, this ate away all that INR 5,000 - INR 4,000 crores we saved. But we are on course to save INR 10,000 crores, I have told you, that hopefully another INR 3,000 crores, INR 4,000 crores will come in our kitty with a host of effort which is already in place.

Now shipping side, as you are aware, we have formed a JV with Mitsui. We have ordered two ships for -- very large tank carrier for our OPaL. So shipping side that is something that is another activity. Now Petchem, that also we have shared with you in the stock exchange filings, that we have approved the creation of a JV between MRPL and OPaL to have better synergy in Petchem marketing. So, these are two of our companies and two having independent everything. So, we are basically amalgamating the marketing part, so that there is one umbrella brand under which the product gets marketed. So, this is something that board has approved. It is now in the final stages of other statutory requirements. So hopefully there also some value should get created.

Yesterday, in our board, we approved a port business. We yesterday approved the formation of a new JV with the Gujarat Maritime Board to create a new port at Dahej. I want you to know that Dahej is the least or most least distance port from northern denser population part of the country. Naturally, anything to land at Dahej is cheapest for the country in terms of transportation, further transportation. But Dahej, we know Dahej also is nearest for the LPG pipeline, that is 8 million ton Kandla–Gorakhpur pipeline. Plus, this port will serve our own interest of this OPaL plus LPG. So, it is from day one, it should be very, very highly financially viable and commercially profitable venture. A 50-50 JV between us and Gujarat Maritime Board, so this is something that - so if you notice, five, six new JVs have come in recent times. Basically, you know, increasing our chances of other revenue streams, including renewable but basically in the - all are in the energy space plus integrated to our own line of business. Like, what we did is for our own shipping and transportation from U.S. for our own plant.

So now, coming to - I think I'm done with most of the things, except unless you - did I miss anything? No. So this is the macro picture now. Now, we want you to know that that gas is more lucrative for us today. In Indian context, gas is more lucrative. So, we should call ourselves gas and oil company, not oil and gas company and also whatever new gas comes, these are all -- even from APM block, like DSF is free pricing. DSF, which will come next year in market price. It is not even governed by 12% slope. So, 12% slope is only for nomination field, and any well, like this project of DUDP is in the nomination block and therefore, entire production is going to the new well gas. New well gas is 12% of crude price. So this, we want you to be mindful. And therefore ONGC gradually is becoming a more greener company through more gas. Now that is also a strategic fix for the world, that possibly only one oil and gas company in the world which produces more little more gas than the oil. So, this is something that, as you know, oil production of the world is around 4,000 - 4400 MT and gas production is 2,500 MTOE. But we are at almost matching. Oil and gas is equal, and gas is a little more than that. So it is something, and gas is more valued fuel in the light of what goes on in fact. In fact, we will be very - we are definitely testing the market. In India, gas demand is galloping, and Maruti alone is selling roughly 25% of its vehicle is a CNG vehicle, so car manufacturing. Because CNG is a natural and CNG demand is viable at 12% price. So naturally, it will be more greener, and it is also - gas we can produce more and more, that confidence we have. So, oil I'm not saying we can't produce, but oil growth in our view will be - unless we have some big discovery, will be

muted. But gas growth will continue to be. So this impression that ONGC will not grow is not correct. We'll grow more on gas side. So that factor we should keep in mind.

With this, I'm done. Now you can take questions.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. The first question comes from Nitin Tiwari from Phillip Capital Limited. Please go ahead.

Nitin Tiwari

Thanks for having this call. I really appreciate the elaborate initial brief that you gave. Yes, we have a very clear picture. The first question is with respect to gas production. Sir, as you mentioned, I will let you know your focus is on gas, and you spoke at some length about it. But, I mean, what I wanted to point out is that surprisingly over the last five years, our gas production is on a continuous decline despite whatever investments that we have been doing and despite the guidance as well.

So, if I remember right, our earlier guidance during this year was that by January, the technical partnership with BP would start from some result and we'll also have incremental gas coming in from Daman offshore as well as other fields in the Western offshore, which will contribute about 5 MMSCMD by end of March. So I just want to understand what is the status of these projects? Was there any incremental production that came in and the decline that we saw in this quarter was despite this production coming in? And in that backdrop, what is the guidance for FY27 and FY28 for gas production, for us and also for the JV? So that would be my first question, sir.

Arun Kumar Singh

So, if we in the MH field, that is Mumbai High, that is TSP 1, there oil, on baseline target oil is 102%. We have disclosed that yesterday, and gas is around 108% or 109%. So gas for the BP has gone up, but as I told you, oil and gas production, there is some small operational part, and there is largely facility part. Facility part is coming up. So it is, first year itself, MH has shown a number, but first year was never supposed to be a great number because facility will take around that minimum one, one and a half year to grow. But still where BP is involved, the production is more compared to what we have targeted.

Now coming to DUDP. DUDP, yes, in March -- DUDP we were targeting March. In March we opened - we have started opening the wells. But try to understand that it is not like something that you start today,

everything you open in one day. We go through a process. There are 15 wells, and all the platforms, all the four platforms are fully ready to receive gas. We are opening gas, four we have opened and we have to open - the remaining 11 we have to open. Whatever we had committed to you, we will start monetization from March. I think we have honored that, okay.

Now monetization commencement doesn't mean that full thing coming on in one day. It is either a startup plant, which takes around six to seven months, and that process we have to go through. In this monsoon, we hope to open at least another six to seven wells. So now, for monsoon its starting now. Fifth well is under opening now. Then sixth will come, then seventh will come, eighth come. There is a process and sequence to be followed for gas production, because you have to synchronize with the pressure balancing you have to do. The well doesn't get over pressurized and all that, so there are technical issues there. We are sticking to that plan. That monetization commenced in March. Fully by September, October, we should have opened all the wells.

But again, I just want to tell you, peak production doesn't mean that after you opened all the wells, the peak production happens. Peak production happens on the reservoir maturity. So after pushing some gas out and all that, then again interventions are made, and therefore peak production may be a little further away. But all the wells, we are hoping to open just after monsoon. It should be completed after monsoon. That September - October, we should be through with all the wells opening. Opening should give us around 3 - 4MMSCM per day. Did I answer your both questions?

Nitin Tiwari

Yes, sir. I mean, you did answer to some extent. I also wanted to have the guidance for '27 and '28. And I do appreciate the complexities in these projects, sir, and really appreciate the good job that ONGC is doing. But I was only going by the guidance that you all gave, I mean, at the beginning of FY 26.

Arun Kumar Singh

I'll tell you. We gave a hint in yesterday, our people have written it well. They have said very clearly that the Gulf War in March, many projects got delayed because of the Gulf War. One of our major pipeline replacement project worked by Saudi or Dubai party. So naturally that project got kicked because of the Western Asia issue.

In fact, geopolitical issues, then similarly, there is some project which got linked to real availability and all that. That was also because if somebody is not getting energy, so everybody asked for deferment of time. But still you should appreciate that fortunately DUDP we're chasing very badly, so we got on time. But other projects little delay here and there, and also you should be mindful then we connect the new projects with the old wells, there is a process to be followed in which the certain portion of time the

production suffers, because it is a partial shutoff or major-full shutoff, so that we can do the activity. Some part you can attribute to that.

But if you see last year, ONGC is standalone gas production, it is almost flat. It is not 0.6% negative only if I remember correctly. If you are hinting at our JV partner, that is Vedanta and all that, that figure I can't talk. But ONGC is standalone, pure standalone, means ONGC operated block, not ONGC jointly or operated by someone else. We are almost - oil may be at minus 1%, and gas we are 0.6%, so almost we are flat level. DUDP number was supposed to come from April only.

Nitin Tiwari

Sir, I was referring to average production as well as the quarterly production. In this quarter if we look at it, our gas production is down by 2.5%. And, I mean, I guess if you know --

Arun Kumar Singh

I told you, I gave you the reason. Their projects are under commissioning. As I told you, wells are under, you know, opening and all that. So, we have to shut other wells to gradually open these wells. Anyway, these are technical things which may not worry, but whenever you commission something new, there'll be temporary glitches there. So, this is something -- this quarter is primarily attributable to that bit, 2% minus.

Nitin Tiwari

So pardon me, I mean like you know I came across somewhat - but I'm trying to put it as mildly as possible. But if you look at, I mean, even KG 98/2, the project is not delayed. I mean, it's severely delayed. I mean, we have been guiding in almost every quarter. Yes.

Arun Kumar Singh

First of all, I said that - we gave you a hint that we had a geological reason, right? Gas wells are yet to be opened because gas wells, we could not open because platform was not ready. So platform got ready and then now connections are going on. So hopefully, we are hoping that July - August time we'll open those wells.

Nitin Tiwari

Great sir. I mean, I just wanted to have the guidance, therefore, for '27 and '28. I mean, in light of what you spoke about opening of wells in.

Arun Kumar Singh

We can't give you exact numbers, okay? That you have to estimate. We can't give you, because unfortunately, we give you a number and they don't cling on, and then you ultimately blame us. We are in E&P. It is called exploration and production.

Nitin Tiwari

No sir, we are not going to hold you on to any specific number. If you can help us with some broad guidance, that will be helpful, sir.

Arun Kumar Singh

Broad guidance I gave you, it will grow, gas will grow.

Prakash Joshi

Nitin just, let us now ask some other questions to come up, okay? You can join the queue later. Yeah. Okay, Nitin. Thank you.

Moderator

Thank you, sir. Participants are requested to ask two questions in the initial round and may join the queue for more questions. The next question comes from Pranitha Shetty from Morgan Stanley. Please go ahead.

Pranitha Shetty

Thank you for this opportunity. I really appreciate the detailed brief you gave earlier. It adds a lot of light to what we're trying to understand about the company. Sir, I had two questions. The first one is relating to discoveries. Could you throw some additional light on the discoveries, what you mentioned earlier, the three discoveries in the brief, what you had mentioned? Could you just add more clarity in terms of what is the production, that potential you're seeing there? And what could be the CapEx for these assets?

Arun Kumar Singh

So these are under appraisal, okay. All I can say, that the wells discovery flow rate was to my mind, for Western Offshore was fantastic. Because the two - three discovery that I have quoted, two in Western Offshore and one in Assam. Both the discovery is a fantastic flow rate, it has shown.

Only thing is unless we put some more wells nearby and assess the reserve size, we can't give you a definitive figure to how much it will produce. But we are now very bullish on these two discoveries, because it is completely a different area, and frankly, we were not expecting this flow rate. So naturally - but we can't tell you the quantity, because unless we have one or two more exploratory appraisal wells.

In our industry, the appraised discovery is made. Then after discovery, then you appraise by drilling some more wells to delineate the area, and then you assess the quantity. Once you assess the quantity, then you develop the field development plan, so then you decide the CapEx. But all I can say at this point in time, by Western Offshore standards, it looks very, very promising. But quantity, I will stay away from, because that is not correct on my part to say without appraisal.

Pranitha Shetty

So, sir, then you'll be adding, let's say, another three exploratory wells there and then giving us a more immediate number?

Arun Kumar Singh

Number I will give you then. We are sure that it is worth developing. We can make that statement. But what is the reserve size and what will be the facility size, we'll come to know only once we have the appraisal done. Appraisal done means, one or two more wells, and that is already under planning, so it must be happening now.

Pranitha Shetty

Okay, sir. Thank you.

Moderator

Thank you, ma'am. The next question comes from Randy Lau from Goldman Sachs. Please go ahead.

Randy Lau

Okay, thanks for taking my questions. I have two questions today. So for my first question, could you share some thoughts on why the government has not implemented any windfall taxes recently in spite of higher oil prices, and whether there's any expectation of such going forward? This is my other question.

Arun Kumar Singh

This you should ask government, not me, because see, we are damned either side. Last time SAED government applied, everybody said the government is interfering too much. This time government has not applied. Then also you are not happy. But it is good for ONGC, because even when the crude price went up to USD 140/bbl, what you can infer from here, I think I would imply to infer you that way, that government doesn't want to interfere with E&P sector. It wants to give full freedom to whatever, because you know our report. They want every drop to come out, and whatever they can do, they have done.

In fact that, not I was saying because the government has appointed me. I am saying, because they didn't apply SAED despite so much of crisis and so much of loss to ONGC. Otherwise, we were the first guy to compensate partly by giving SAED, either through SAED or even earlier times we have given discount up to INR 2 lakh crore in the previous time when FY'13 - '14. It's SAED government didn't collect, but we directly gave the discount to our crude purchasers in India. So, this time nothing like that happened. We got flat when - even when it was USD 140/bbl, we also got USD 140/bbl. So you should be happy, no, as an ONGC investor?

Randy Lau

Okay. Yeah, thank you, sir. For my second question, what is the latest status of the proposed APM gas pricing regulation from January 2027?

Arun Kumar Singh

Pricing regulation, as of now I can't say about government. Government for this year, because it is supposed to be reviewed this year, because Parikh Committee had asked for review in '27. But in a way, whether that review is required or not, that is a million-dollar question, because we have already reached USD 7/mmbtu, and USD 7/mmbtu gas is - our kitty next year will be, out of total gas will not be more than 50%. So if they review well and good. If they don't review also, we have new well gas. The new well gas will keep replacing old well gas. Therefore, this journey of 10-12% migration each year will happen.

So, I think that if we can revise it right now, we'll be more than happy. Actually, directionally it is clear, that government wants to compensate very handsomely to gas producers, because I can't say on behalf of government what government will do.

Moderator

The next question comes from Varatharajan Sivasankaran from Antique Stock Broking. Please go ahead.

Varatharajan Sivasankaran

Thanks for the opportunity, sir. We are all quite enthused by the government support in the form of a relief on the royalty front. Is there also a plan from our side in terms of increasing exploration as the development CapEx given this backdrop?

Arun Kumar Singh

So that is a little premature, but intention, at least what we understand from various sources, that intention, of course it is for government to take a call finally that how much they will support, but it looks like there's a big support for exploration information coming from union budget.

Varatharajan Sivasankaran

Are we looking at increasing our CapEx, sir? Like from that INR 22,000 crore now that we have something to come from?

Arun Kumar Singh

CapEx, that depends on what contribution gets announced from there. We'll adjust our figure accordingly, so that we will continue to give you a handsome dividend.

Varatharajan Sivasankaran

Fair enough, sir. Secondly, in the case of discoveries and the new reserve replacement to ensure you have given the 2P reserves, unfortunately we don't have the baseline 2P reserves for the entire company to compare ourselves with. So, if you can provide that, that will be useful sir, both oil and gas.

Arun Kumar Singh

So that we'll give. Subsequently, we'll give you. Subsequently, after this call we'll share with you.

Varatharajan Sivasankaran

Sure, sir. Thank you.

Arun Kumar Singh

Because at baseline, last year addition is 44 MMT. In fact, this year edition, '25 - '26 addition is 44 MT. We produced roughly 40 MT of oil and gas, so 4 MT is additional. So you should be happy about last year's performance. Base year will be the previous year's performance. This, nonetheless, we'll share with you. Yeah.

Moderator

Thank you, sir. The next question comes from Amit Murarka from MOSL Financial Services. Please go ahead.

Amit Murarka

Hi, this is Amit from Axis Capital. On CapEx, could you give a number as to what can we expect for FY 27?

Arun Kumar Singh

See, it remains generally INR 30000 crore bound, because now, INR 33,000 crore some will spill over, but it should be anywhere INR 30000 – 32000 crore, something like that. But if more CapEx you bring more production comes, we'll be happier to expand more. And I'm talking about E&P CapEx. Non-E&P CapEx is separate, because now one-third E&P CapEx goes in non E&P side. We are not all going in that ratio, but this we talked about E&P CapEx.

Amit Murarka

Sure. So ballpark, we see INR 33000 crore E&P and then another INR 10,000-11,000 crore non-E&P?

Arun Kumar Singh

Yeah. If the good opportunity comes, then you can take it. Because we have no currently no plan, but if some new business opportunity comes, we'll invest there INR 8,000-10,000 crore.

Amit Murarka

Sure. Can you provide a KG-D6 oil and gas run rate right now? Sorry KG 98/2 oil and gas run rate?

Ajay Kumar Singh

2.3 mmscm gas and 24,000 bopd oil, yeah.

Amit Murarka

Also, I see that both have actually been dropped substantially from where we were earlier in the year.

Arun Kumar Singh

In fact, I told you that we had surprises. In fact, it is compartments, but we have got a solution now in hand, so we have to implement it. It should be back, because the reservoir proved to be different from what we thought.

Amit Murarka

So, what is the run rate you're targeting now?

Arun Kumar Singh

It should come back to same level, but it'll take around a year or so minimum, because we have to drill some wells.

Moderator

Thank you, sir. The next question comes from Raj Gandhi from SBI Mutual Funds. Please go ahead.

Raj Gandhi

Hi, thanks for taking the question. Sir, just again trying to get some headway on the CapEx side. Let's say, as you mentioned, you drilled 500 wells out of which 100 wells exploratory. So, what should be that annual run rate in the next two, three years, given the impetus on exploration that we are trying?

Arun Kumar Singh

It depends on what government support comes.

Raj Gandhi

Okay. But outside of deepwater, how should we think about it? Maybe deepwater is contingent on that?

Arun Kumar Singh

Outside of deepwater, we'll continue to be today. Today, we see roughly, we year we drilled 4 wells. But deepwater, one well is equal to a 100 wells of onshore. I hope you got my tip.

Raj Gandhi

Got it. Where we are coming from is largely, you know, but let's say if we were to see Oil India, you know, they were at INR 4,000 crores run rate sometime back. Last two, three years they have increased, and now they are guiding at about a INR 10,000 crores run rate. So, from an overall CapEx perspective, you've seen about a 2.5x increase purely on the standalone oil and gas side. So, which is the --

Arun Kumar Singh

In our side. No, sorry for cutting you short, because we can't afford it. INR 30,000 crore, we can't make it INR 75,000 crore. Oil India possibly can afford it. I won't comment on that.

Raj Gandhi

Got it. Sure. So, which is where we are trying to guess that where will ONGC end up with on a run rate basis given the impetus on exploration?

Arun Kumar Singh

ONGC's own budget and almost INR 31,000 - 32,000 crore okay. Depending on if external support external support comes, then that much extra we'll do. Internal support, say, we'll do around -- CapEx will be around INR 30,000 - 31,000 crore.

Raj Gandhi

Okay.

Moderator

Thank you, sir. The next question comes from Vikash Jain from CLSA India. Please go ahead.

Vikash Jain

Good morning, sir. Thanks for taking my questions. I have a few of them. Firstly, on dry well write offs, this was possibly your biggest quarterly write off. Are there elements of some one or two really large wells? And in terms of your overall exploration spend of the INR 33,000 crore, how is that likely to be in FY 27 versus how it was in FY 26 exploration, I want to talk.

Arun Kumar Singh

Our exploration expenditure is typically INR 8,000 crores – INR 10,000 crore rate per year. And I told you that is likely to -- one answer is that we'll keep at same level, but this year, in your last quarter write off, this abnormality has come from a very, very paper process, because we had a write off. We had a block and which government took it away and where we had the DSF-IV. So we had drilled something, some well. And since we did not develop because there were potential -- a commerciality issue, so government took it back. In fact, we had to write it off, because the asset itself went off. So therefore we had no choice, but that was around INR 1,800 crores. So our normal -- whatever was there is normal. This one exceptional item came. I'm not saying exceptional item in true sense. One-off item came. Otherwise, you can be rest assured that you are in safe hands.

Vikash Jain

Of course, sir. I fully appreciate the challenges and uncertainty that exploration brings in and E&P brings in. But nonetheless, with our best understanding and best guesses, from whatever you've said, just to kind of build on to that, you said by September - October, all wells of Daman project will open up. And then soon after is when we will get to peak production. Should we take that as by December is a good guess on when you should get to about? What is the peak production, 5 MMSCMD right?

Arun Kumar Singh

No, peak production typically is one year away -- minimum two year away, because of that -- the reservoir takes time to mature, because of the flow and all that. So, typically different field have different timelines. But definitely you can expect that good quantity will start flowing by then, but peak will be still away. The peak to average will be how much? That is geologist - the reservoir guys to answer.

Vikash Jain

The peak production is still more a 2027 story or '28, is it? '27 for Daman?

Arun Kumar Singh

FY'27, you can take it. Peak is, again, a statistical number. 0.8 MMSCM changing is also changing. When peak will come, it is normally oil field has or gas field has a 15 year profile, suppose it has. The third, fourth year it will peak, then remain plateau for seven, eight years, and then will decline. So this is a typical growth, death cycle of a well.

Vikash Jain

Sure. Of course. And the expected peak here is about 5MMSCMD. Is that roughly the number that we are looking at?

Arun Kumar Singh

Yeah, roughly. Because this project has some additional facility, which creates more production from existing wells, other project wells too. Because of the suction that it creates. Well, this is purely a technical issue. From this project, you can expect 5 MMSCM, 4.89 MMSCM to be precise.

Moderator

The next question comes from Gagan Dixit from Elara Securities. Please go ahead.

Gagan Dixit

Thanks for taking my question, and also thanks for giving the very elaborate description about the recent developments in the ONGC. My question is about the CapEx outlook, sir. Now sir, given that government is giving lots of incentives to the upstream companies, so do we see the possibility that at least the exploration CapEx will meaningfully increase in few years? Because that's the expectation I see from the government side? Why I'm asking, because I think two months back some news came in the media that ONGC closed a USD 20 billion global tender for the deepwater rigs, at least for 4-5 years. So that's what, if you can throw some highlight about the CapEx trajectory or changing that over the next few years, sir.

Arun Kumar Singh

So first of all, it never said 20 rigs over what period of time. So it can be 20 years, 1 rig each year, okay. Second, I don't know from where they picked up that news, but I will not comment on that. But I can certainly comment on two, three facts, that for the next two years, we have to drill around 15 - 16 deep water wells. So I can give you two, three year visibility, and those will be drilled from our conventional budget that every year we have been spending.

Most likely, big money from government will start flowing from '27 - '28. '26 – '27, I don't see any big spending coming on government head, because you must have seen DGH has already -- government has already started picking up the bills. Because government has already ----- one is for entire Eastern offshore 2D survey, which is also going to be thousands and thousands of crores and second one is day before yesterday it came with 3D seismic reprocessing. So, government has already started picking up seismic, and well will not come next this year, this I'm sure, because seismic will take some time. Based on seismic result only, government will decide what to assist, how much to give in which well. So I'm sure, that policy lets the government documents come out. Government is not yet official. All government is official about it. They have floated two tenders from their kitty, from their office for seismic of big areas. So right now, this year, we will spreservoir end from our own budget, because this is a conventional, our exploration budget, because if we are provided for and we have been providing for years together.

Gagan Dixit

And sir, my second question is about sir -- I mean, beyond this Mumbai High, KG, Daman. So, in this financial year, what are the prospects where you are working? I mean, where you see the potential or at least, see some possibility of some exploration results which we see? Where do you see the very high possibility based on your basic studies and working on the...

Arun Kumar Singh

Sir, basically, you know that we have two - third, one - third there also. In ONGC E&P two - third is offshore and one - third is onshore production wise. So, in fact some numbers will come from Gujarat, because Gujarat roughly we produce 4.5 million tons and some efforts are on for -- because every year we explore and some new wells are found, so that will get produced. But also enhanced oil recovery of Gujarat assets are very high, because we expect there, but these are all -- we can't quantify it, unfortunately, that how much and all that. But definitely we'll do everything possible to increase production, but how much and all that, we can't say. But two things I'll just reiterate, that we have great hopes from some of the particularly after this one last year discovery, that we'll try to develop as fast as possible.

Gagan Dixit

And sir, my final question is about how much is the exploratory rig which we expect to be deployed this year as compared to the last year, especially in the offshore?

Arun Kumar Singh

So, that question is very dangerous for us. Because what happens, the moment we answer, cartelization happens.

Gagan Dixit

Okay, sir.

Arun Kumar Singh

I hope you should not ask this question, because when supplier side gets all the information, and then we end up paying more, and that certainly you would not like, because you're also getting a good share in your profit. So please do not encourage this number of rigs and all that. We play the card to suit the market. We can't clear the market by disclosing our numbers. But one thing I can share you, ONGC is the first company in the world whose tenders say, now that minimum one rig, maximum we will decide depending on price. I think whether you have seen this pattern or not, last three tenders of rigs is mentioning this language. We are also becoming unpredictable.....you got my answer, or no? Gentleman? So what I'm trying to say, rigs, we will decide the rig depending on what price it gets quoted for, because after all, we are talking our budget.

Moderator

The next question comes from Probal Sen from ICICI Securities. Please go ahead.

Probal Sen

Sir, my first question was mostly regarding the OPaL. You mentioned that you're obviously on the way to get some contract and this manufacturers too ----- Can we get a little bit of granularity in terms of how much will the cost be once we have to start importing ethane? I mean, what I mean to ask is that if today, let's say, LNG --

Arun Kumar Singh

You'll get your answer very quickly. You know, in fact, imported ethane is USD 9/mmbtu, even today, because USD 3/mmbtu is Henry Hub; 1.15 you multiply, and then you have liquefaction and transportation. So typically in USD 9/mmbtu, your home. Against that, today we are buying LNG from open market at USD 18/mmbtu and new well gas at if OPaL was allowed to buy, at USD 14/mmbtu. Today, this month, new well gas is USD 13.91/mmbtu. So, you got your answer in this figure?

Probal Sen

Right, sir. If I can ask a small follow-up, then what are the timelines we are looking at where we can, sort of this process is going and ship to?

Arun Kumar Singh

Our ship will be here in '28. The moment we have shipped, then we have import will start. By then quantity is not a problem in the U.S. The only thing ship is not there. The ship, Samsung is ordered...delivery is December'28.

Probal Sen

FY '29 is we can sort of start --

Arun Kumar Singh

Yeah, exactly.

Probal Sen

Yeah, the other question was with respect to the Western Offshore and the entire TSP. If I can try to understand what was the decline rate for that entire region, even the range before the TSP? And what do you sort of expect it to be, let's say, by FY 28 when you said that at least one to two years of work is required for meaningful results to start coming through? Now that the entire Western offshore has been handed to or it's going to be worked on by the BP. By FY '28 - '29, given that it is 60% of oil and 70% of gas, can we see a meaningful arresting of the entire decline rate for ONGC? Is that a fair way to look at it?

Arun Kumar Singh

Yes. Answer is decline rate, not decline rate arrest and further growth. That is the commitment from next year. Okay, that is the commitment in the tender itself. The decline rate, decline stops compared to the last year base, and growth happens. We have been struggling with the decline since last 90s. I'll give you some number which will be of interest to you. Our ONGC peak production was in '95 - '96 in Western Offshore, which was 39 MMTOE oil plus gas. Last year we have produced 26.18 MMTOE. It means roughly one-third of volume declined in the intervening period of 30 years, okay. Now, this is likely to go up from next year, okay, with peak in FY'31 - '32. I hope I clarified.

Moderator

Thank you, sir. The next question comes from Vikash Jain from CLSA India. Please go ahead.

Vikash Jain

Sir, let me just ask the questions quickly, so that I am not cut off, because these are some very important questions. Firstly, we were talking about Daman itself. So, your 3 MMSCMD additional that you asked for new -- that you suggested in new well gas going from USD 9-12/mmbtu, should I assume that this is largely what Daman should possibly come, although it will peak next year. But the 3 MMSCMD roughly is what you hope will come from Daman in some time?

Arun Kumar Singh

Yes. Minimum 3 MMSCM.

Vikash Jain

And on KG Basin, just to kind of -- I know there's a lot of language, the one that was there in press release, something that you've kind of put in as well. Just to kind of understand that in a more clear way. The geological challenges that you faced or the surprise that you encountered was largely linked to the oil part or the liquid part of the production. The gas bit has just not started, because of the delay in the platform. So, the oil part is where you are going to handle that and you've kind of figured out a solution. You'll have to possibly drill more wells and maybe in about three, four quarters, you expect oil production to again go back to the kind of expected levels which it was. But the gas bit is only going to pick up from after July - August. Is that understanding, correct?

Arun Kumar Singh

Yes. 100%. You are absolutely right.

Vikash Jain

Sure. And so the current gas production which is at 2.3 MMSCMD, that once more wells are added in July - August, how should I expect that to kind of ramp up? Should I expect that by the end of this calendar, this will go to five or so or even higher? And then when should I expect?

Arun Kumar Singh

So, having experienced 98/2, predictability is low. But definitely you can expect -- it can vary anywhere to anywhere. I'm saying minimum to max. So, that number, I will leave it to you to guess. But definitely it will be at least the minimum size also should be handsome for you.

Arun Kumar Singh

Number is no ... because last time we gave you a number and then you were all, you know, exact number and all that. But you have to exact number we can't give, but we have some view, but geology is geology. God has created geology, man has not created. So we'll have to wait for July, August to see.

Moderator

Thank you, sir. The next question comes from Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika

Yeah, good afternoon, just two questions. Firstly, in terms of your production uptick, so possibly Daman and KG 98/2 gas, so both of them will probably add up this year and DSF-II from next year onwards. So against that, what could be the natural decline for the existing assets?

Arun Kumar Singh

So yes, what you said is correct. This year, basically three major things, but the DSF is next year, but 98/2 gas this year, you're right and plus, you should also - 1 or 2 MMSCM gas, there are multiple projects going on, so those we are not -- with those we don't count, because that's not counted in what we have explained to you.

Sabri Hazarika

Alright, sir. But this is against a natural decline of 7-8%, is that right?

Arun Kumar Singh

More or less, yes. Because our natural decline, it is 7-8%, but we compensate 3-4% by interventions. So 2-3%, that number I gave you, that says it all, in 30 years, we lost one-third. So, you can derive your own inference that how much we will lose. Roughly 1% or 2% every year we lose, after setting off our all the efforts of. 7-8% natural decline, 5-6% we make up by all the means, and then 1% or 2% further falls, unless

new field comes in and new field came like DUDP is a new field, DSF is a new field. Next year we'll be a bigger field than this. These are fields still, you know we'll add. But old fields with old interventions, with all the conventional interventions, it is very difficult to hold on to even the current level. So naturally, ONGC is one of the, you know I should say that basically 7-8% decline is always kept at 1-2%, and that is something ONGC should be proud of.

Sabri Hazarika

Got it. And second question is on this Q4 results. So C2, C3, C4 production, as well as relations earnings, that has fallen significantly. Was there anything exceptional during Q4?

Arun Kumar Singh

Three reasons. In fact, because of this March, because every gas allocation got diverted towards something else. So naturally VAP got reduced, because the gas got diverted for making more and more LPG. And LPG prices are lower than crude. OPaL operated only at 60% in March. Less than 60% in March.

Sabri Hazarika

So this will continue in Q1 also, till the time that entire allocation thing gets normalized. Is that right?

Satish Kumar Dwivedi

That's right now 60%, but we are planning to start the operations by this month.

Arun Kumar Singh

Right now it's 60, but I'm told that it will be at 80%, 85% within four, five days, because something has been lined up.

Sabri Hazarika

And even the stand alone C2, C3, C4 will recover or that will remain at the Q4 levels only or March level? Yes, both the things are completely connected. The entire C2, C3, C4 reported in the standalone business goes to OPaL only.

Arun Kumar Singh

He is asking about the VAP of ONGC. So some quantity got diverted, because - you know for LPG. That we do not know till the West Asia crisis is over.

Sabri Hazarika

Okay. Fair enough. Got it. Thank you so much and all the best.

Moderator

Next question comes from Vikash Jain. Please go ahead.

Vikash Jain

So Brazil, there's some update there as well in the in the Sergipe–Alagoas thing. So, could you please share that bit as well? And also on this --

Arun Kumar Singh

For that. Now I'll ask MD OVL to explain.

Rajarshi Gupta

BM SEAL 4 as we call it, it's in Sergipe–Alagoas, the thing. We had an exploration success some time back, and now FID has been taken. SPS has been contacted, and we are going ahead with the development. We should get 1.3 million ton net to OVL additional production by 2030, Oil in FY'30 and gas in FY'31.

Vikash Jain

1.3 million ton oil equivalent, you said, is the net share. That's for the 25%.

Rajarshi Gupta

Yes.

Vikash Jain

Okay. DSF, that you said could add another 4 - 5 MMSCMD to gas production, and that'd be free pricing. So that's roughly - when are you expecting that? Is it FY28 or ?

Arun Kumar Singh

Yes. FY28, sir. It can't get delayed further. It has got delayed for different reason, but definitely '28, yes.

Vikash Jain

This ramp up is likely to be quicker because this is less complicated geologically, is that?

Arun Kumar Singh

Yeah, it is a known field. The Western Offshore it's less -- its more predictable.

Vikash Jain

Sure, yeah, that's what I meant. Okay, sir. Thank you.

Moderator

The next question comes from Nitin. Please go ahead.

Nitin Tiwari

Hi, sir. Thanks for the opportunity. Again, just a book keeping one from my end this time. So our operating expenses are higher in this quarter and also for the year. You did mention the GST bit. But what is -- are there any one offs in this quarter particularly? I mean, as I guess, our regular net of about INR 5,500 crores – INR 6,000 crores, we are at almost INR 9,000 crores of operating expense.

Yogish Nayak

For Q4, the GST on royalty, which already D(HR)-additional charge, DF, has already explained, that is around INR 235 crores and INR 262 crores relating to KG 98/2 umbilical written off after the opinion of ICAI. We have to make the provision for old outstanding recoverable also INR 257 crores, and one provision for stores and spares around the INR 280 crores. These are the exceptional items, one off item which resulted in Q4 operating expenses higher.

Nitin Tiwari

If all this is added up, just about INR 1,000 odd crores, I mean. But we are at, as I said, I mean, last quarter operating expenses were INR 6,500 crore. Now we are at INR 9,200 crore. So, is there anything else that we are missing over here?

Yogish Nayak

Others is the GST impact as Chairman has already told, from 12-18% it has increased. And the other thing is exchange rate fluctuation with the rupee depreciated by 11%. So that has also impacted the operation.

Nitin Tiwari

Great, sir. Thanks a lot. And lastly, before I let you all go, if I can give us a regional breakup of your CapEx spend, if that's possible. How much are we going to spend onshore and how much offshore, specifically Western offshore? And how much of this -- you've given out the exploratory number. How much of this would be in development and IOR, UR program? The INR 32,000 crores we spoke about.

Arun Kumar Singh

70/30 is offshore onshore ratio.

Nitin Tiwari

Okay. Any number you can give me, sir, for Western Offshore?

Arun Kumar Singh

Largely 70% you can say that it is Western Offshore only, because we have hardly one or two wells, maximum two, three wells in 98/2. Most of the money will go to Western Offshore only. Because Western Offshore is still is more humanly even productive.

Nitin Tiwari

Sure, sir. Thank you so much, sir.

Moderator

Next question comes from Mayank Maheswari from Morgan Stanley. Please go ahead.

Mayank Maheswari

Hello, sir. Thanks for the call. I was just focusing on the cost side. You had a great reserve replacement ratio this year as well. Now in terms of cost structure, if I was to kind of think about you have been highlighting of how you're focusing on reducing operating costs specifically and CapEx costs. In a dollar per BOE basis, can you just give us a sense of what was the region of in terms of cost saving initiatives that helped you in fiscal '26? And what are you thinking for fiscal '27? And specifically with the BP tie up, is there any cost savings that we should be thinking about?

Arun Kumar Singh

We had a INR 5,000 crore plan per phase, then we have another INR 5,000 crore. We'll have to convert into per barrel, so.

Arun Kumar Singh

About 500 million for 40 million tons. So 40 million ton, how much is it? 10 per ton. Correct?

Mayank Maheshwari

USD 1.8 per BOE, roughly.

Rajarshi Gupta

If I may add, you know, many of the questions that you have been asking are pertinent and well understood.....just because I'm seeing the international part. When you look at the Indian part and we track all this in rupees, there's a discord, because when we see expense and dollars and these accounts are in rupees, so rupee, there has been a significant depreciation, so this numbers become different when you look at it. So that should be kept in mind.

Mayank Maheswari

That's why I was thinking about it more from a dollar per BOE basis rather than rupees or anything of that sort, so that on a per unit production perspective.

Arun Kumar Singh

We'll have to discount the dollar - rupee depreciation no. Because we had some INR 5,000 crore is in Indian rupee we had said. Most of it we have realized almost INR 4,000 crore, but we got negated by two

things, that is dollar exchange rate and GST. GST is 12, became 18, but we are on course, we'll continue to do. We have another INR 5,000 crore lined up. It'll take around a year or so more to realize because the effort you make today, results will come later. So, the cost side, we are now very comfortable

Moderator

Thank you, sir. That would be the last question for the day. Now I hand over the floor to Shri Yogish Nayak for closing comments.

Yogish Nayak

Good afternoon. We hope we have answered all the queries from the participants. In case if any further queries are there, they can reach out to our investor relationship itself. I thank Chairman and CEO for addressing the participants and answering all the queries of the participants. I also thank MD OVL, DF OVL, DHR and additional charge finance - ONGC, and all my senior colleagues for participating, and also all the participants for participating in this conversation. Thank you.

Arun Kumar Singh

Thank you. Have a great day!

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant day!

Note:

1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.